

or more. Perhaps it's a function of bull markets, but complex tops in these patterns tend to bust. They confirm as valid complex head-and-shoulders tops, sure, but price reverses before reaching the bottom of that horizontal range. Price climbs and begins a new climb to the moon. Do *not* short these patterns.

Avoid complex head-and-shoulders tops where the stock has moved horizontally for a year or more before the chart patterns begin.

For all trades, place a stop above the right shoulder, or worst case, above the head. You don't want a short sale to get away from you.

[Table 42.11](#) shows special features of the complex top. I removed bull market results because they showed little performance difference.

Neckline slope. In bear markets, if the neckline slopes downward, price drops 24% compared to a drop of 21% if the neckline slopes upward. Cool beans!

Shoulder highs. The results for this one are unexciting. I measured performance of complex tops by comparing the highest of the left shoulder with the highest right shoulder and checking performance. Patterns with a higher left shoulder result in better performance, but not so you'd notice.

[Table 42.11](#) Special Features

Description	Bear Market
Neckline slopes up, performance	−21%
Neckline slopes down, performance	−24%
Left shoulder above right, performance	−23%
Left shoulder below right, performance	−22%

Sample Trade

Henry runs a small hedge fund. He considered buying into the stock shown in [Figure 42.6](#), but needed more bullish evidence. In August 1994 (not shown), indicators he uses on a daily basis confirmed a buy signal, so he bought shares for his fund at an average price of 17.25.